


DVS Raju 49, CMD

"Gangavaram has been developed as an all-weather, deep draft, fully mechanised port capable of handling Capesize vessels."

GANGAVARAM PORT

Established 2005

A partnership between the Andhra Pradesh government and the DVS Raju-led consortium, the port has handled 137 vessels and 6.4 million tonnes of cargo this year. It offers better facilities than Visakhapatnam and Paradip.

achieving a discharge rate of 71,808 tonnes a day for coal in May, which is three times higher than the average discharge rate of 20,000 to 25,000 tonnes at any other Indian port. In all, it has handled 137 vessels and 6.4 million tonnes of cargo this year. Apart from tapping the location advantage, the Gangavaram Port Limited (GPL) has learnt its lessons from the bitter experiences of several failed public-private partnerships. "We found that the key challenges are the need for large tracts of uninhabited land, a holistic environmental plan, rail and road connectivity, the presence of an industrially developed hinterland and greater depth to cater to larger-sized ships," says DVS Raju, 49, its chairman and managing director. One of the main reasons for its success is that GPL does not suffer the syndrome of putting the cart before the horse. "GPL is being developed to cater to the need of existing industries in the hinterland unlike some others which are being built only to serve proposed steel and power projects," says Raju, who was part of the team that started Satyam Computers and founded VisualSoft Technologies.

With an investment of Rs 1,800 crore in the first phase, GPL has been developed by a consortium led by Raju with the Andhra Pradesh government and Warburg Pincus as the other equity partners. In July this year, the late Andhra Pradesh chief minister Y.S. Rajasekhara Reddy had announced that the state is

contemplating developing a petrochemical complex at Visakhapatnam which would help the Gangavaram Port to handle more cargo. As of now, GPL will handle port operations for 30 years and then hand over the company to the state government. Profit being served on a platter.

by Amarnath K. Menon

HOPE HARBOUR

ying between Yarda hill on the north and Mukkoma hill on the south, the Balacheruvu lagoon near Visakhapatnam may have well emerged as a sprawling picturesque seaside resort. But with some foresight and lots of determination in dealing with belligerent fishermen, this natural harbour at Gangavaram has emerged as the deepest and most efficient port in the country.

Though the project was in the planning stage for 10 years, work began only three years ago and operations started in August last year. Gangavaram Port offers strategic advantages like deep draft berths, ad-

vanced material handling and evacuation system along with vast storage areas for all types of cargo and extensive ancillary facilities to its users, making it a better draw than Visakhapatnam and Paradip. These advantages translate into dramatic cost savings.

Thanks to a judicious mix of logistics and modern equipment, the Gangavaram Port has created historic milestones like handling the first fully loaded Capesize vessel, *MV Ocean Dragon*, in January,

95 per cent
of India's total
volume of
global trade
is conducted
through its 12
major and 187
minor ports.